

Directors' Report

The Board of Directors of your company is hereby pleased to present the audited financial statements together with the Auditor's Report thereon of your Company for the year ended 30 June 2016.

OPERATING RESULTS

The comparison of the audited results for the year ended 30 June 2016 with the corresponding period of last year is as under:

	30 June 2016	30 June 2015
	In Rupees	
Net profit before tax	4,843,611	2,033,795
Net Profit after tax	1,292,135	1,375,158
Earning / (loss) per share – Basic & diluted		

During the year, the company has a net profit of Rs. 1.292 million, due to the advisory services provided, during the year. The company is exploring other projects and business opportunities to enhance its revenues during the next year.

THE ECONOMY

Macroeconomic and security challenges continue to weigh on the economy. Growth is expected to remain modest in Fiscal Year 2017, largely reflecting fiscal consolidation to deal with high deficits that have caused macroeconomic imbalances. The government has embarked upon a program of fiscal and structural reform, supported by an Extended Fund Facility Arrangement with the International Monetary Fund, to restore macroeconomic balance, relieve energy shortages, and guide the economy toward faster and more sustainable growth.

Moderate growth in gross domestic product (GDP) in FY2016 reflected weak macroeconomic fundamentals in recent years. Investment remained low as energy shortages and security concerns continued to undermine investor confidence. Fiscal pressures kept the budget deficit very high for the fourth consecutive year. At the same time, however, inflation fell into single digits. Stable global commodity prices.

On the demand side, private consumption will remain the main driver of economic growth, supported by the sustained inflow of remittances, low real interest rates, and better credit availability at banks and CPEC inclusion will enhance overall outlook of the economic. Government spending will be contained by fiscal consolidation to bring down the budget deficit. Net exports are expected to be negative as import growth quickens to support improved capacity utilization in manufacturing.

GDP growth is expected to be higher in FY2017, at 5.2%, as the impact of fiscal consolidation eases somewhat, energy supplies improve, and the global economy strengthens.

DIVIDEND

The Board of directors of the Company have recommended final cash dividend from the net profits of the current year at the rate of 10% (2015: 10%) Rupee 1.00 per share (2015: Rupee 1.00 per share) to the ordinary shareholders except Company's sponsors, directors, their families and friends. This is the seventh consecutive year that the company has given dividend to the minority shareholders and the Sponsors etc have graciously forego their dividend.

GENERAL

The Board of Directors wishes to express its pleasure and gratefulness to the shareholders for their continued support and to all the employees for their ongoing dedication and commitment to the Company.

Directors' Report

CODE OF CORPORATE GOVERNANCE

The Directors of your Company are fully aware of their responsibilities under the Code of Corporate Governance incorporated in the Listing Rules of the stock exchanges in the country under instructions from the Securities & Exchange Commission of Pakistan. We are taking all the necessary steps to ensure Good Corporate Governance in your Company as required by the Code.

As a part of the compliance of the Code, we confirm the following:

- a) The financial statements, prepared by the management of the Company, present fairly its state of affairs, the result of its operations, cash flows and changes in equity.
- b) Proper books of account of the Company have been maintained.
- c) Appropriate accounting policies have been consistently applied in preparation of financial statements and accounting estimates are based on reasonable and prudent judgment.
- d) International Accounting Standards, as applicable in Pakistan, have been followed in preparation of financial statements and any departure there from has been adequately disclosed.
- e) The system of internal control is sound in design and is being effectively implemented and monitored.
- f) The Company has the ability to continue as a going concern.
- g) There has been no material departure from the best practices of corporate governance, as detailed in the listing regulations.
- h) We have an Internal Audit Committee the members of which are amongst from the Board of Directors.
- i) We have prepared and circulated a Statement of Ethics and business strategy among directors and employees.
- j) The Board of Directors has adopted a mission statement and a statement of overall corporate strategy.
- k) As required by the Code of Corporate Governance, we have included the following information in this report:
 - i. Statement of pattern of shareholding has been given separately.
 - ii. Statement of shares held by associated undertakings and related persons.
 - iii. Statement of the Board meetings held during the year and attendance by each director has been given separately.
 - iv. Key operating and financial statistics for last five years in summarized form is given below.

Directors' Report

KEY FINANCIAL DATA

Particulars	2016	2015	2014	2013	2012
Capital	25,072	25,072	25,072	25,072	25,072
Share premium	20,891	20,891	20,891	20,891	20,891
Reserve	752	752	752	752	752
Accumulated (loss) / profit	(7,172)	(7,450)	(8,331)	(8,171)	(8,928)
Long term liabilities	336	0	22	70	157
Current Liability	4,487	4,680	4,572	2,912	2,405
Total Equity & Liability	39,173	41,172	39,810	41,528	40,350
Operating Fixed Assets	2,244	2,501	2,881	3,334	3,877
Long term assets	224	227	218	218	218
Current assets	36,711	38,443	36,711	37,975	36,255
Total Assets	39,173	41,172	39,810	41,528	40,350
Operating Income	8,000	9,000	4,935	4,979	4,795
Capital Gain/(Loss)	-	-	-	-	(2)
Operating Expenses	(3,124)	(1,965)	(2,107)	(1,929)	(1,341)
Operating Profit/(Loss)	4,875	7,034	2,054	3,050	3,454
Taxation	(3,551)	(658)	(716)	(1,195)	(1,473)
Net Profit (Loss)	1,292	1,375	1,337	1,841	1,980
Basic (Loss) / Earning per share	0.52	0.55	0.53	0.73	0.79

Accumulated loss

PATTERN OF SHAREHOLDING

The Pattern of shareholding as at 30 June 2016 is shown on page # 40. The Statement showing the Company's shares bought & sold by Directors, CEO, Company Secretary and minor family members is also disclosed therein.

Directors' Report

DIRECTORS MEETING

During the year four meetings of the board of Directors were held, Attendance by each director is as follows:

Name of Director	Nos. of Meeting Attended
Mr. Aqeel Karim Dhedhi	4
Mrs. Yasmeen Aqeel	3
Mrs. Mehrunnisa Siddique	3
Mr. Muhammad Munir	4
Mr. Muhammad Sohail	4
Mr. Zafar Jaweed Alavi	4
Mr. Nessar Ahmed	3

ACKNOWLEDGEMENT

Your Directors record with appreciation, the efforts of the Company's managers and employees who have worked to meet the target of business plans. Your Directors also extend their appreciation to the Company's bankers, consortium partners, regulators and others for the cooperation extended by them during the year.

For and on behalf of the Board

DIRECTOR

Karachi:

Dated: 30 September 2016

Statement of Compliance with the Code of Corporate Governance

This statement is being presented to comply with the Code of Corporate Governance contained in Regulation No.5.19, of listing regulations of KARACHI STOCK EXCHANGE LIMITED for the purpose of establishing a framework of good governance, whereby a listed company is managed in compliance with the best practices of corporate governance.

The Company has applied the principles contained in the Code in the following manner:

1. The company encourages representation of independent non-executive directors and directors representing minority interests on its Board of Directors. At present the board includes:

CATEGORY	NAME
Independent directors	Mrs. Mehrunnissa Siddiqui
Executive directors	Mr. Nessar Ahmed
Non-executive directors	Mr. Muhammad Sohail Mr. Aqeel Karim Dhedhi Mr. Muhammad Munir Mrs. Yasmeen Aqeel Mr. Zafar Jaweed Alavi

The independent directors meet the criteria of independence under clause 5.19.1 of the CCG.

2. The Directors have confirmed that none of them is serving as a Director in more than seven listed companies, including this Company.
3. All the resident directors of the Company are registered as taxpayers and none of them has defaulted in payment of any loan to a banking company, a DFI or an NBFIs or, being a member of a stock exchange, has been declared as a defaulter by that stock exchange.
4. No casual vacancy occurred in the Board during the year.
5. The company has formulated the 'Code of Conduct' and appropriate steps have been taken to disseminate it throughout the Company along with its supporting policies and procedures.
6. The board has developed a vision/mission statement, overall corporate strategy and significant policies of the company. A complete record of particulars of significant policies along with the dates on which they were approved or amended has been maintained.
7. All the powers of the board have been duly exercised and decisions on material transactions, including appointment and determination of remuneration and terms and conditions of employment of the CEO, have been taken by the board.
8. The meetings of the Board were presided over by the Chairman. Board meets at least once in every quarter. The Board held four meetings during the year. Written notices of the Board meetings, along with agenda and working papers, were circulated at least seven days before the meetings. The minutes of the meetings were appropriately recorded and circulated.
10. No new appointments of Chief Financial Officer, Company Secretary and Head of Internal Audit were made during the year. The remuneration and terms & conditions in case of future appointments on this position will be approved by the Board.
11. The directors' report for this year has been prepared in compliance with the requirements of the Code and fully describes the salient matters required to be disclosed.

12. The financial statements of the Company were duly endorsed by CEO and Chief Accountant before approval of the Board.
13. The directors, CEO and executives do not hold any interest in the shares of the Company other than that disclosed in the pattern of shareholding.
14. The Company has complied with all the corporate and financial reporting requirements of the Code.
15. The Board has formed an audit committee. It comprises 03 members, All members are non-executive directors including the chairman of the committee.
16. The meetings of the audit committee were held once every quarter prior to approval of interim and final results of the company and as required by the Code. The terms of reference of the committee have been formed and advised to the committee for compliance.
17. The Board will set-up an effective internal audit function and appoint the Head of Internal Audit from the next year. However, the Company is so far assisted by the internal audit function at group level..
18. The board will establish Human Resource and Remuneration Committee during the next financial year.
19. The statutory auditors of the Company have confirmed that they have been given a satisfactory rating under the quality control review programme of the Institute of Chartered Accountants of Pakistan, that they or any of the partners of the firm, their spouses and minor children do not hold shares of the Company and that the firm and all its partners are in compliance with International Federation of Accountants (IFAC) guidelines on code of ethics as adopted by Institute of Chartered Accountants of Pakistan.
20. The statutory auditors or the persons associated with them have not been appointed to provide other services except in accordance with the listing regulations and the auditors have confirmed that they have observed IFAC guidelines in this regard.
21. The 'closed period', prior to the announcement of interim/final results, and business decisions, which may materially affect the market price of company's securities, was determined and intimated to directors, employees and stock exchange(s).
22. Material/price sensitive information has been disseminated among all market participants at once through stock exchange.
23. We confirm that all other material principles enshrined in the CCG have been complied with except for the following, towards which reasonable progress is being made by the company to seek compliance by the end of next accounting year:
 - The company is in the process of formulating the 'Code of Conduct' and appropriate steps will be taken to disseminate it throughout the Company along with its supporting policies and procedures.
 - The board will establish Human Resource and Remuneration Committee during the next financial year.
 - The Board will set-up an effective internal audit function and appoint the Head of Internal Audit from the next year.
 - The positions of Chief Financial Officer, Company Secretary and Secretary to the Audit Committee are held by the same person. The board will take appropriate steps for appointing another person as Secretary to the Audit Committee during the next year.
 - In accordance with the criteria specified in clause 5.19.7 of CCG, six directors of the Company are exempted from the requirement of director's training program. The remaining directors will obtain training under the said training program in due course.

Chief Executive Officer

30 September 2016
Karachi

Chairman

Auditors' Report of the Members

We have audited the annexed balance sheet of AKD CAPITAL LIMITED ("the Company") as at 30 June 2016 and the related profit and loss account, cash flow statement and statement of changes in equity together with the notes forming part thereof, for the year ended 30 June 2016 and we state that we have obtained all the information and explanations which, to the best of our knowledge and belief, were necessary for the purposes of our audit.

It is the responsibility of the Company's management to establish and maintain a system of internal control, and prepare and present the above said statements in conformity with the approved accounting standards and the requirements of the Companies Ordinance, 1984. Our responsibility is to express an opinion on these statements based on our audit.

We conducted our audit in accordance with the auditing standards as applicable in Pakistan. These standards require that we plan and perform the audit to obtain reasonable assurance about whether the above said statements are free of any material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the above said statements. An audit also includes assessing the accounting policies and significant estimates made by management, as well as, evaluating the overall presentation of the above said statements. We believe that our audit provides a reasonable basis for our opinion and, after due verification, we report that:

- (a) in our opinion, proper books of account have been kept by the Company as required by the Companies Ordinance, 1984;
- (b) in our opinion:
 - i) the balance sheet and profit and loss account together with the notes thereon have been drawn up in conformity with the Companies Ordinance, 1984, and are in agreement with the books of account and are further in accordance with accounting policies consistently applied;
 - ii) the expenditure incurred during the year was for the purpose of the Company's business; and
 - iii) the business conducted, investments made and the expenditure incurred during the year were in accordance with the objects of the Company;
- (c) in our opinion and to the best of our information and according to the explanations given to us, the balance sheet, profit and loss account, cash flow statement and statement of changes in equity together with the notes forming part thereof conform with approved accounting standards as applicable in Pakistan, and, give the information required by the Companies Ordinance, 1984, in the manner so required and respectively give a true and fair view of the state of the Company's affairs as at 30 June 2016 and of the profit, its cash flows and changes in equity for the year ended 30 June 2016; and

- (d) in our opinion, Zakat deductible at source under the Zakat and Ushr Ordinance, 1980 (XVIII of 1980), was deducted by the Company but the amount of Rupees 93,136 so deducted was not deposited in the Central Zakat Fund established under section 7 of that Ordinance.

Without further qualifying our opinion, we draw attention to Note 1.2 to the financial statements, which states that the Company's primary commercial operations remained at halt for some years that indicates the existence of a material uncertainty which may cast significant doubt about the Company's ability to continue as a going concern. However, the aforesaid note discloses the management's strong commitment to resume the viable and profitable commercial operations during the ensuing financial year. These financial statements do not include any adjustments relating to the realization of the Company's assets and liquidation of liabilities that may be necessary should the Company be unable to continue as a going concern. These financial statements have, however, been prepared on going concern basis for the reasons more fully disclosed in the aforesaid note.

RIAZ AHMAD & COMPANY
Chartered Accountants

Engagement partner:
Muhammad Hamid Jan

Date:

KARACHI

Review Report to the Members on Statement of Compliance with the Code of Corporate Governance

We have reviewed the enclosed Statement of Compliance with the best practices contained in the Code of Corporate Governance ("the Code") prepared by the Board of Directors of AKD CAPITAL LIMITED ("the Company") for the year ended 30 June 2016 to comply with the requirements of Listing Regulation No. 5.19 of Pakistan Stock Exchange Limited where the Company is listed.

The responsibility for compliance with the Code is that of the Board of Directors of the Company. Our responsibility is to review, to the extent where such compliance can be objectively verified, whether the Statement of Compliance reflects the status of the Company's compliance with the provisions of the Code and report if it does not and to highlight any non-compliance with the requirements of the Code. A review is limited primarily to inquiries of the Company's personnel and review of various documents prepared by the Company to comply with the Code.

As a part of our audit of the financial statements, we are required to obtain an understanding of the accounting and internal control systems sufficient to plan the audit and develop an effective audit approach. We are not required to consider whether the Board of Directors' statement on internal control covers all risks and controls or to form an opinion on the effectiveness of such internal controls, the Company's corporate governance procedures and risks.

The Code requires the Company to place before the Audit Committee, and upon recommendation of the Audit Committee, place before the Board of Directors for their review and approval its related party transactions distinguishing between transactions carried out on terms equivalent to those that prevail in arm's length transactions and transactions which are not executed at arm's length price and recording proper justification for using such alternate pricing mechanism. We are only required and have ensured compliance of this requirement to the extent of approval of related party transactions by the Board of Directors upon recommendations of the Audit Committee. We have not carried out any procedures to determine whether the related party transactions were undertaken at arm's length price or not.

Based on our review, nothing has come to our attention which causes us to believe that the Statement of Compliance does not appropriately reflect the Company's compliance, in all material respects, with the best practices contained in the Code as applicable to the Company for the year ended 30 June 2016.

We draw attention to note 23 of the Statement of Compliance with the Code of Corporate Governance which describes following significant instances of non-compliance with the

requirements of the Code: (i). non-formulation of the Code of Conduct along with its supporting policies and procedures; (ii). non-establishment of the Human Resource and Remuneration Committee; (iii). pending setting-up of internal audit function within the Company and appointment of Head of Internal Audit; (iv). holding of the positions of Chief Financial Officer, Company Secretary and Secretary to Audit Committee by same person; and (v). one of seven directors (six directors are exempted) not attended any directors' training program during the year.

Our report is not qualified in respect of these matters.

RIAZ AHMAD & COMPANY
Chartered Accountants

Name of engagement partner:
Muhammad Hamid Jan

Date:

KARACHI

Balance Sheet

as at 30 June 2016

ASSETS

NON-CURRENT ASSETS

	Note	2016	2015
		(Rupees)	
Property and equipment	3	2,244,385	2,501,668
Long term investments	4	198,000	198,000
Long term deposits	5	20,000	20,000
Deferred taxation	17.2	-	9,145
		2,462,385	2,728,813

CURRENT ASSETS

Trade debts - considered good		8,000,000	11,500,000
Advances and prepayments	6	129,130	100,445
Investments	7	22,868,720	25,289,840
Other receivables	8	1,970,931	1,443,333
Advance income tax		973,108	37,829
Cash and bank balances	9	2,769,344	72,079
		36,711,233	38,443,526
		39,173,618	41,172,339

TOTAL ASSETS

EQUITY AND LIABILITIES

SHARE CAPITAL AND RESERVES

Authorized share capital			
50,000,000 (2015: 50,000,000) ordinary shares of Rupees 10 each		500,000,000	500,000,000
Issued, subscribed and paid-up share capital	10	25,072,733	25,072,733
Reserves	11	9,276,831	11,419,145
TOTAL EQUITY		34,349,564	36,491,878

NON CURRENT LIABILITIES

Deferred taxation	17.2	336,553	-
-------------------	------	---------	---

CURRENT LIABILITIES

Trade and other payables	15	2,877,898	3,966,742
Provision for taxation		1,609,603	713,719
		4,487,501	4,680,461
TOTAL LIABILITIES		4,824,054	4,680,461

Contingencies and commitments

13

TOTAL EQUITY AND LIABILITIES

39,173,618	41,172,339
-------------------	-------------------

The annexed notes from 1 to 28 form an integral part of these financial statements.

CHIEF EXECUTIVE OFFICER

DIRECTOR

Profit And Loss Account

for the year ended 30 June 2016

	Note	2016 (Rupees)	2015
INCOME			
Consultancy Income	14	8,000,000	9,000,000
Dividend income		-	9
		<u>8,000,000</u>	<u>9,000,009</u>
EXPENSES			
Administrative expenses	15	(3,124,581)	(1,965,826)
		<u>4,875,419</u>	<u>7,034,183</u>
Loss on disposal of investment		-	(4,979,703)
Finance cost	16	(31,808)	(20,685)
		<u>4,843,611</u>	<u>2,033,795</u>
PROFIT BEFORE TAXATION			
PROVISION FOR TAXATION			
Current - for the year	17	(1,609,603)	(713,719)
- prior year		(1,596,175)	23,775
Deferred		(345,698)	31,307
		<u>(3,551,476)</u>	<u>(658,637)</u>
NET PROFIT FOR THE YEAR		<u>1,292,135</u>	<u>1,375,158</u>
OTHER COMPREHENSIVE INCOME			
Items that will not be reclassified subsequently to profit and loss		-	-
Items that may be reclassified subsequently to profit and loss:			
Transfer of fair value loss to profit and loss account on disposal of available for sale investments		-	888,966
Loss on remeasurement of available for sale investments		(2,421,120)	(493,835)
Other comprehensive (loss) / income for the year		<u>(2,421,120)</u>	<u>395,131</u>
TOTAL COMPREHENSIVE (LOSS) / INCOME		<u>(1,128,985)</u>	<u>1,770,289</u>
EARNINGS PER SHARE-BASIC AND DILUTED	18	<u>0.52</u>	<u>0.55</u>

The annexed notes from 1 to 28 form an integral part of these financial statements.

CHIEF EXECUTIVE OFFICER

DIRECTOR

Annual Report 2016

17

Cash Flow Statement

for the year ended 30 June 2016

Note	2016	2015
	(Rupees)	
CASH FLOW FROM OPERATING ACTIVITIES		
Profit before taxation	4,843,611	2,033,795
Adjustment for non cash items:		
Dividend income	-	(9)
Loss on disposal of investments	-	4,979,703
Depreciation	323,351	379,842
	323,351	5,359,536
Operating cash flow before working capital changes	5,166,962	7,393,331
Changes in working capital		
Decrease / (increase) in current assets		
Trade Debts	3,500,000	(8,500,000)
Advances and prepayments	(28,685)	(41,012)
Other receivables	(527,598)	(1,443,333)
	2,943,717	(9,984,345)
(Decrease) / increase in current liabilities		
Trade and other payables	(1,147,870)	160,213
	1,795,847	(9,824,132)
CASH FLOW FROM / (USED IN) OPERATIONS	6,962,809	(2,430,801)
Income tax paid	(3,245,173)	(763,490)
Net cash flow from / (used in) operating activities	3,717,636	(3,194,291)
CASH FLOW FROM INVESTING ACTIVITIES		
Investments made during the year	-	(7,118,636)
Investment disposal proceeds during the year	-	7,146,338
Property and equipment purchased	(66,068)	-
Dividend received	-	9
Net cash (used in) / flow from investing activities	(66,068)	27,711
CASH FLOW FROM FINANCING ACTIVITIES		
Dividend paid	(954,303)	(495,022)
Net cash used in financing activities	(954,303)	(495,022)
NET INCREASE / (DECREASE) IN CASH AND CASH EQUIVALENTS	2,697,265	(3,661,602)
Cash and cash equivalents at the beginning of the year	72,079	3,733,681
Cash and cash equivalents at the end of the year	2,769,344	72,079

The annexed notes from 1 to 28 form an integral part of these financial statements.

CHIEF EXECUTIVE OFFICER

DIRECTOR

Statement of Changes in Equity

for the year ended 30 June 2016

	Share Capital	Share Premium	Fair value Reserve on available for sale investments	General Reserve	Accumulated loss	Sub total	Total Equity
	(Rupees)						
Balance as at 30 June 2014	25,072,733	20,891,600	(3,168,698)	752,000	(8,331,024)	10,143,878	35,216,611
Final dividend for the year ended 30 June 2014	-	-	-	-	(495,022)	(495,022)	(495,022)
Total comprehensive income for the year							
Profit for the year	-	-	-	-	1,375,158	1,375,158	1,375,158
Other comprehensive income							
Transfer of fair value loss to profit and loss account on disposal of available for sale investment	-	-	888,966	-	-	888,966	888,966
Loss on re-measurement of available for sale investment	-	-	(493,835)	-	-	(493,835)	(493,835)
	-	-	395,131	-	1,375,158	1,770,289	1,770,289
Balance as at 30 June 2015	25,072,733	20,891,600	(2,773,567)	752,000	(7,450,888)	11,419,145	36,491,878
Final dividend for the year ended 30 June 2015	-	-	-	-	(1,013,329)	(1,013,329)	(1,013,329)
Total comprehensive income for the year							
Profit for the year	-	-	-	-	1,292,135	1,292,135	1,292,135
Other comprehensive loss							
Loss on re-measurement of available for sale investment	-	-	(2,421,120)	-	-	(2,421,120)	(2,421,120)
	-	-	(2,421,120)	-	1,292,135	(1,128,985)	(1,128,985)
Balance as at 30 June 2016	25,072,733	20,891,600	(5,194,687)	752,000	(7,172,082)	9,276,831	34,349,564

The annexed notes from 1 to 28 form an integral part of these financial statements.

CHIEF EXECUTIVE OFFICER

DIRECTOR

Annual Report 2016

Notes to the Financial Statements

for the year ended 30 June 2016

1. THE COMPANY AND ITS BUSINESS

- 1.1 AKD Capital Limited ("the Company") was incorporated as a Public Limited Company in the year 1936 under Companies Act 1913 (Now the Companies Ordinance, 1984). Shares of the Company are quoted on the Pakistan Stock Exchange. The principle activity of the Company is to deal in real estate / providing consultancy, projects financing and management, investment in listed securities and to engage in leasing.

The registered office of the company is situated at 416-418, Continental Trade Center, Clifton, Karachi.

- 1.2 These financial statements have reported net profit for the year amounting to Rupees 1.292 million. The Company's net assets position and other financial indicators depict a healthy financial position as at the reporting date. However, the Company's primary commercial operations i.e. to deal in real estate projects, providing consultancy services, projects financing and management etc remained at halt for some years due to economic conditions prevailing in the Country and other ancillary reasons. This situation indicates the existence of material uncertainty which may cast significant doubt about the Company's ability to continue as a going concern and, therefore, it may be unable to realize its assets and discharge its liabilities in the normal course of business. However, the management is proactively considering new business avenues and looking for different options. The Company has been successful in securing contracts from construction venture for provision of consultancy services in recent years. During the year, the Company has entered into another agreement of Rupees 20 million against which services are being rendered and partial billing has been made. The Company is also exploring other construction projects and business opportunities to enhance its revenues in the coming years. The Company has also invested its surplus funds in a housing scheme company from which lucrative returns are expected in the coming years. The sponsor directors and management of the Company are committed to the viable and profitable commercial operations of the Company in the ensuing financial year and, based upon the future financial projections, strongly believe that the Company will continue as a going concern.

These financial statements, therefore, have been prepared on going concern basis and do not include any adjustment relating to the realization of its assets and liquidation of any liabilities that might be necessary should the Company be unable to continue as a going concern.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The significant accounting policies applied in preparation of these financial statements are set out below. These policies have been consistently applied to all years presented, unless otherwise stated :

2.1 Basis of Preparation

a) Statement of compliance

These financial statements have been prepared in accordance with approved accounting standards as applicable in Pakistan. Approved accounting standards comprise of such International Financial Reporting Standards (IFRS) issued by the International Accounting Standards Board as are notified under the Companies Ordinance, 1984, provisions of and directives issued under the Companies Ordinance, 1984. In case requirements differ, the provisions or directives of the Companies Ordinance, 1984 shall prevail.

b) Basis of measurement

These financial statements have been prepared under the "historical cost convention", except for the investment at fair value through profit or loss and the investments available for sale measured on the basis of fair value.

c) Functional and presentation currency

Items included in the financial statements are measured using the currency of the primary economic environment in which the Company operates. These financial statements are presented in the Pakistani Rupees, which is the Company's functional and presentation currency.

Notes to the Financial Statements

for the year ended 30 June 2016

d) Use of estimates and judgements

The preparation of financial statements in conformity with the approved accounting standards requires the use of certain critical accounting estimates. It also requires the management to exercise its judgment in the process of applying the Company's accounting policies. Estimates and judgments are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. The areas where various assumptions and estimates are significant to the Company's financial statements or where judgments were exercised in application of accounting policies are as follows:

Useful lives, patterns of economic benefits and impairment

Estimates with respect to residual values and useful lives and pattern of flow of economic benefits are based on the analysis of the management of the Company. Further, the Company reviews the value of assets for possible impairment on an annual basis. Any change in the estimates in the future might affect the carrying amount of respective item of property and equipment, with a corresponding effect on the depreciation charge and impairment.

Taxation

In making the estimates for income tax currently payable by the Company, the management takes into account the current income tax law and the decisions of appellate authorities on certain issues in the past.

Provision for doubtful debts

The Company reviews its receivable against any provision required for any doubtful balances on an ongoing basis. The provision is made while taking into consideration expected recoveries, if any.

e) Amendments to published approved standards that are effective in current year and are relevant to the Company

The following amendments to published approved standards are mandatory for the Company's accounting periods beginning on or after 01 July 2015:

IFRS 12 'Disclosures of Interests in Other Entities' (effective for annual periods beginning on or after 01 January 2015). This standard includes the disclosure requirements for all forms of interests in other entities, including joint arrangements, associates, special purpose vehicles and other off-balance sheet vehicles. This standard does not have significant impact on these financial statements, except for certain additional disclosures.

IFRS 13 'Fair value Measurement' (effective for annual periods beginning on or after 01 January 2015) is mandatory for the Company's accounting periods beginning on or after 01 July 2015. This standard aims to improve consistency and reduce complexity by providing a precise definition of fair value and a single source of fair value measurement and disclosure requirements for use across IFRSs. The requirements, which are largely aligned between IFRSs and US GAAP, do not extend the use of fair value accounting but provide guidance on how it should be applied where its use is already required or permitted by other standards within IFRSs or US GAAP. This standard does not have significant impact on these financial statements, except for certain additional disclosures.

Securities and Exchange Commission of Pakistan vide circular no.14 of 2016 "Implementation of Mandatory Disclosure for Listed Companies for All Shares Islamic Index Screening" issued on 21 April 2016 directed all listed companies under section 506B of the Companies Ordinance, 1984 (XLVII of 1984) read with section 505 thereof and Section 40B of the Securities and Exchange Commission of Pakistan Act, 1997 (XLII of 1997) to disclose all Islamic related transactions and balances in their annual and half yearly financial statements. Accordingly, additional disclosures have been presented as per circular no.14.



Notes to the Financial Statements

for the year ended 30 June 2016

f) Standards, interpretation and amendments to published standards that are effective in current year but not relevant to the Company

There are other standards, new interpretation and amendments to published standards that are mandatory for accounting periods beginning on or after 01 July 2015 but are considered not to be relevant or do not have any significant impact on the Company's financial statements and are therefore not detailed in these financial statements.

g) Standard, interpretation and amendments to published standards that are not yet effective but relevant to the Company

Following standard, interpretation and amendments to existing standards have been published and are mandatory for the Company's accounting periods beginning on or after 01 July 2016 or later periods:

IFRS 9 'Financial Instruments' (effective for annual periods beginning on or after 01 January 2018). A finalized version of IFRS 9 which contains accounting requirements for financial instruments, replacing IAS 39 'Financial Instruments: Recognition and Measurement'. Financial assets are classified by reference to the business model within which they are held and their contractual cash flow characteristics. The 2014 version of IFRS 9 introduces a 'fair value through other comprehensive income' category for certain debt instruments. Financial liabilities are classified in a similar manner as under IAS 39, however there are differences in the requirements applying to the measurement of an entity's own credit risk. The 2014 version of IFRS 9 introduces an 'expected credit loss' model for the measurement of the impairment of financial assets, so it is no longer necessary for a credit event to have occurred before a credit loss is recognized. It introduces a new hedge accounting model that is designed to be more closely aligned with how entities undertake risk management activities when hedging financial and non-financial risk exposures. The requirements for the de-recognition of financial assets and liabilities are carried forward from IAS 39. The management of the Company is in the process of evaluating the impacts of the aforesaid standard on the Company's financial statements.

Accounting for Acquisitions of Interests in Joint Operations – IFRS 11 (Amendments) 'Joint Arrangements' (effective for annual periods beginning on or after 1 January 2016) clarify the accounting for the acquisition of an interest in a joint operation where the activities of the operation constitute a business. They require an investor to apply the principles of business combination accounting when it acquires an interest in a joint operation that constitutes a business. The amendments are not likely to have an impact on the Company's financial statements.

IFRS 15 'Revenue from Contracts with Customers' (effective for annual periods beginning on or after 01 January 2018). IFRS 15 provides a single, principles based five-step model to be applied to all contracts with customers. The five steps in the model are: identify the contract with the customer; identify the performance obligations in the contract; determine the transaction price; allocate the transaction price to the performance obligations in the contracts; and recognize revenue when (or as) the entity satisfies a performance obligation. Guidance is provided on topics such as the point in which revenue is recognized, accounting for variable consideration, costs of fulfilling and obtaining a contract and various related matters. New disclosures about revenue are also introduced. The aforesaid standard is not expected to have a material impact on the Company's financial statements.

IFRS 15 (Amendments), 'Revenue from Contracts with Customers' (effective for annual periods beginning on or after 01 January 2018). Amendments clarify three aspects of the standard (identifying performance obligations, principal versus agent considerations and licensing) and to provide some transition relief for modified contracts and completed contracts. The aforesaid amendments are not expected to have a material impact on the Company's financial statements.

IFRS 16 'Lease' (effective for annual periods beginning on or after 01 January 2019). IFRS 16 specifies how an entity will recognize, measure, present and disclose leases. The standard provides a single lessee accounting model, requiring lessees to recognize assets and liabilities for all leases unless the lease term is 12 months or less or the underlying asset has a low value. Lessors continue to classify leases as

Notes to the Financial Statements

for the year ended 30 June 2016



operating or finance, with IFRS 16 approach to lessor accounting substantially unchanged from its predecessor, IAS 17 'Leases'. IFRS 16 replaces IAS 17, IFRIC 4 'Determining Whether an Arrangement Contains a Lease', SIC-15 'Operating Leases-Incentives' and SIC-27 'Evaluating the Substance of Transactions Involving the Legal Form of a Lease'. The management of the Company is in the process of evaluating the impacts of the aforesaid standard on the Company's financial statements.

IAS 7 (Amendments), 'Statement of Cash Flows' (effective for annual periods beginning on or after 01 January 2017). Amendments have been made to clarify that entities shall provide disclosures that enable users of financial statements to evaluate changes in liabilities arising from financing activities. The aforesaid amendments will result in certain additional disclosures in the Company's financial statements.

IAS 12 (Amendments) 'Income Taxes' are effective for annual periods beginning on or after 1 January 2017. The amendments clarify that the existence of a deductible temporary difference depends solely on a comparison of the carrying amount of an asset and its tax base at the end of the reporting period, and is not affected by possible future changes in the carrying amount or expected manner of recovery of the asset. The amendments are not likely to have an impact on the Company's financial statements.

IAS 16 (Amendments) 'Property, Plant and Equipment' (effective for annual periods beginning on or after 01 January 2016). The amendments clarify that a depreciation method that is based on revenue that is generated by an activity that includes the use of an asset is not appropriate for property, plant and equipment; and add guidance that expected future reductions in the selling price of an item that was produced using an asset could indicate the expectation of technological or commercial obsolescence of the asset, which, in turn, might reflect a reduction of the future economic benefits embodied in the asset. However, the amendments are not expected to have a material impact on the Company's financial statements.

Annual Improvements 2012-2014 cycles (amendments are effective for annual periods beginning on or after 1 July 2016). The new cycle of improvements contain amendments to the following standards:

IFRS 5 'Non-current Assets Held for Sale and Discontinued Operations'. IFRS 5 is amended to clarify that if an entity changes the method of disposal of an asset (or disposal group) i.e. reclassifies an asset from held for distribution to owners to held for sale or vice versa without any time lag, then such change in classification is considered as continuation of the original plan of disposal and if an entity determines that an asset (or disposal group) no longer meets the criteria to be classified as held for distribution, then it ceases held for distribution accounting⁶ in the same way as it would cease held for sale accounting.

IFRS 7 'Financial Instruments - Disclosures'. IFRS 7 is amended to clarify when servicing arrangements on continuing involvement in transferred financial assets in cases when they are derecognized in their entirety are in the scope of its disclosure requirements. IFRS 7 is also amended to clarify that additional disclosures required by 'Disclosures: Offsetting Financial Assets and Financial Liabilities (Amendments to IFRS7)' are not specifically required for inclusion in the Company's financial statements.

IAS 19 'Employee Benefits'. IAS 19 is amended to clarify that high quality corporate bonds or government bonds used in determining the discount rate should be issued in the same currency in which the benefits are to be paid.

IAS 34 'Interim Financial Reporting'. IAS 34 is amended to clarify that certain disclosures, if they are not included in the notes to interim financial statements and disclosed elsewhere should be cross referred.

The above amendments are not likely to have an impact on the Company's financial statements.

h)

Standard and amendments to published standards that are not yet effective and not considered relevant to the Company

There are other standard and amendments to published standards that are mandatory for accounting periods beginning on or after 01 July 2016 but are considered not to be relevant or do not have any significant impact on the Company's financial statements and are therefore not detailed in these financial statements.

Notes to the Financial Statements

for the year ended 30 June 2016

2.2 Property and equipment

Property and equipment are stated at cost less accumulated depreciation and accumulated impairment losses (if any). Cost of property and equipment consists of historical cost, borrowing cost pertaining to erection / construction period of qualifying assets and other directly attributable cost of bringing the asset to working condition.

Subsequent costs are included in the asset's carrying amount or recognized as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Company and the cost of the item can be measured reliably. All other repair and maintenance costs are charged to profit and loss account during the period in which they are incurred.

Depreciation

Depreciation is charged to profit and loss account applying the reducing balance method so as to write off the cost / depreciable amount of the assets over their estimated useful lives at the rates given in Note 3. The Company charges the depreciation on additions from the date when the asset is available for use and on deletions up to the date when the asset is de-recognized. The residual values and useful lives are reviewed by the management, at each financial year-end and adjusted if impact on depreciation is significant.

De-recognition

An item of property and equipment is de-recognized upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on de-recognition of the asset is included in the profit and loss account in the year the asset is de-recognized.

2.3 Investments

Classification of an investment is made on the basis of intended purpose for holding such investment. Management determines the appropriate classification of its investments at the time of purchase.

Investments are initially measured at fair value plus transaction costs directly attributable to acquisition, except for "Investment at fair value through profit or loss" which is measured initially at fair value.

The Company assesses at the end of each reporting period whether there is any objective evidence that investments are impaired. If any such evidence exists, the Company applies the provisions of IAS 39 'Financial Instruments: Recognition and Measurement' to all investments.

a) Investment at fair value through profit or loss

Investment classified as held-for-trading and those designated as such are included in this category. Investments are classified as held-for-trading if these are acquired for the purpose of selling in the short term. Gains or loss on remeasurement to fair value are recognized in profit and loss account.

b) Held-to-maturity

Investment with fixed or determinable payments and fixed maturity are classified as held-to-maturity when the Company has the positive intention and ability to hold to maturity. Investments intended to be held for an undefined period are not included in this classification. Other Long-term investments that are intended to be held to maturity are subsequently measured at amortized cost. This cost is computed as the amount initially recognized minus principal repayments, plus or minus the cumulative amortization, using the effective interest method, of any difference between the initially recognized amount and the maturity amount. For investments carried at amortized cost, gain and losses are recognized in profit and loss account when the investments are de-recognized or impaired, as well as through the amortization process.

Notes to the Financial Statements

for the year ended 30 June 2016

c) Available-for-sale

Investments intended to be held for an indefinite period of time, which may be sold in response to need for liquidity, or changes to interest rates or equity prices are classified as available-for-sale. After initial recognition, investments which are classified as available-for-sale are measured at fair value. Gains or losses on available-for-sale investments are recognized directly in statement of other comprehensive income until the investment is sold, de-recognized or is determined to be impaired, at which time the cumulative gain or loss previously reported in statement of other comprehensive income is included in profit and loss account. These are sub-categorized as under:

Quoted

For investments that are actively traded in organized capital markets, fair value is determined by reference to stock exchange quoted market bids at the close of the business on the balance sheet date.

Unquoted

Fair value of unquoted investments is determined on the basis of appropriate valuation techniques as allowed by IAS 39 'Financial Instruments: Recognition and Measurement'.

2.4 Cash and cash equivalents

Cash and cash equivalents are carried in the balance sheet at cost. For the purpose of cash flow statement, cash and cash equivalent comprise of cash in hand and cash in banks in current and deposit accounts.

2.5 Provisions

Provisions are recognized when the Company has a present, legal or constructive obligation as a result of past event, and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate of the amount can be made. However, provision are reviewed at each balance sheet and adjusted to reflect the current best estimate.

2.6 Taxation

Current

Provision for current tax is based on the taxable income for the year determined in accordance with the prevailing law for taxation of income. The charge for current tax is calculated using prevailing tax rates or tax rates expected to apply to the profit for the year, if enacted. The charge for current tax also includes adjustments, where considered necessary, to provision for tax made in previous years arising from assessments framed during the year for such years.

Deferred

Deferred tax is accounted for using the balance sheet liability method in respect of all temporary differences arising from differences between the carrying amount of assets and liabilities in the financial statements and the corresponding tax bases used in the computation of the taxable profit. Deferred tax liabilities are generally recognized for all taxable temporary differences and deferred tax assets to the extent that it is probable that taxable profits will be available against which the deductible temporary differences, unused tax losses and tax credits can be utilized.

Deferred tax is calculated at the rates that are expected to apply to the period when the differences reverse based on tax rates that have been enacted or substantively enacted by the balance sheet date. Deferred tax is charged or credited in the profit and loss account, except to the extent that it relates to items recognized in other comprehensive income or directly in equity. In this case, the tax is also recognized in other comprehensive income or directly in equity, respectively.

Notes to the Financial Statements

for the year ended 30 June 2016

2.7 Revenue Recognition

Gains and losses on sale of investments are accounted for when the commitment (trade date) for sale of security is made.

Unrealized gains and losses arising on revaluation of securities classified as 'held for trading' are recognized in the profit and loss account in the period in which they arise.

Unrealized gains and losses arising on revaluation of securities classified as 'available for sale' are recognized in other comprehensive income in the period in which they arise.

Dividend income is recognized when the right to receive the same is established.

Interest income is recognized using the effective interest method.

Fee income is recognized as and when services are provided.

2.8 Financial Instruments

Financial instruments carried on the balance sheet include trade debts, investments, deposits, other receivables, cash and bank balances and trade and other payables etc. Financial assets and liabilities are recognized when the Company becomes a party to the contractual provisions of instrument. Initial recognition is made at fair value plus transaction costs directly attributable to acquisition, except for "financial instrument at fair value through profit or loss" which is measured initially at fair value.

Financial assets are de-recognized when the Company loses control of the contractual rights that comprise the financial asset. The Company loses such control if it realizes the rights to benefits specified in contract, the rights expire or the Company surrenders those rights. Financial liabilities are de-recognized when the obligation specified in the contract is discharged, cancelled or expired. Any gain or loss on subsequent measurement (except available for sale investments) and de-recognition is charged to the profit or loss currently. The particular measurement methods adopted are disclosed in the following individual policy statements associated with each item and in the accounting policy of investments (note 2.3).

a) Trade and other receivables

Trade and other receivables are carried at original invoice value less an estimate made for doubtful debts based on a review of all outstanding amounts at the year end. Bad debts are written off when identified.

b) Borrowings

Borrowings are recognized initially at fair value and are subsequently stated at amortized cost. Any difference between the proceeds and the redemption value is recognized in the profit and loss account over the period of the borrowings using the effective interest method.

c) Trade and other payables

Liabilities for trade and other amounts payable are initially recognized at fair value, which is normally the transaction cost.

2.9 Off setting of financial assets and financial liabilities

Financial assets and financial liabilities are set off and the net amount is reported in the financial statements when there is a legally enforceable right to set off and the Company intends either to settle on a net basis, or to realize the assets and to settle the liabilities simultaneously.

Notes to the Financial Statements

for the year ended 30 June 2016

2.10 Impairment of assets

Financial assets

A financial asset is considered to be impaired if objective evidence indicate that one or more events had a negative effect on the estimated future cash flow of that asset.

An impairment loss in respect of financial asset measured at amortized cost is calculated as a difference between its carrying amount and the present value of estimated future cash flows discounted at the original effective interest rate. An impairment loss in respect of available for sale financial asset is calculated by reference to its current fair value.

Individually significant financial assets are tested for impairment on an individual basis. The remaining financial assets are assessed collectively in groups that share similar credit risk characteristics.

Non financial assets

The carrying amount of the Company's assets are reviewed at each balance sheet date to determine whether there is any indication of impairment. If such indication exists, the recoverable amount of such assets is estimated. An impairment loss is recognized wherever the carrying amount of the asset exceeds the recoverable amount. Impairment losses are recognized in profit and loss account. A previously recognized impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognized. If there is the case, the carrying amount of the asset is increased to its recoverable amount. That increased amount cannot exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognized for the assets in prior year. Such reversal is recognized in profit and loss account.

2.11 Dividend and other appropriations

Dividend distribution to the Company's shareholders is recognized as a liability in the Company's financial statements in the period in which the dividends are declared and other appropriations are recognized in the period in which these are approved by the Board of Directors.

2.12 Share Capital

Ordinary shares are classified as share capital.

Notes to the Financial Statements

for the year ended 30 June 2016

2.7 Revenue Recognition

Gains and losses on sale of investments are accounted for when the commitment (trade date) for sale of security is made.

Unrealized gains and losses arising on revaluation of securities classified as 'held for trading' are recognized in the profit and loss account in the period in which they arise.

Unrealized gains and losses arising on revaluation of securities classified as 'available for sale' are recognized in other comprehensive income in the period in which they arise.

Dividend income is recognized when the right to receive the same is established.

Interest income is recognized using the effective interest method.

Fee income is recognized as and when services are provided.

2.8 Financial Instruments

Financial instruments carried on the balance sheet include trade debts, investments, deposits, other receivables, cash and bank balances and trade and other payables etc. Financial assets and liabilities are recognized when the Company becomes a party to the contractual provisions of instrument. Initial recognition is made at fair value plus transaction costs directly attributable to acquisition, except for "financial instrument at fair value through profit or loss" which is measured initially at fair value.

Financial assets are de-recognized when the Company loses control of the contractual rights that comprise the financial asset. The Company loses such control if it realizes the rights to benefits specified in contract, the rights expire or the Company surrenders those rights. Financial liabilities are de-recognized when the obligation specified in the contract is discharged, cancelled or expired. Any gain or loss on subsequent measurement (except available for sale investments) and de-recognition is charged to the profit or loss currently. The particular measurement methods adopted are disclosed in the following individual policy statements associated with each item and in the accounting policy of investments (note 2.3).

a) Trade and other receivables

Trade and other receivables are carried at original invoice value less an estimate made for doubtful debts based on a review of all outstanding amounts at the year end. Bad debts are written off when identified.

b) Borrowings

Borrowings are recognized initially at fair value and are subsequently stated at amortized cost. Any difference between the proceeds and the redemption value is recognized in the profit and loss account over the period of the borrowings using the effective interest method.

c) Trade and other payables

Liabilities for trade and other amounts payable are initially recognized at fair value, which is normally the transaction cost.

2.9 Off setting of financial assets and financial liabilities

Financial assets and financial liabilities are set off and the net amount is reported in the financial statements when there is a legally enforceable right to set off and the Company intends either to settle on a net basis, or to realize the assets and to settle the liabilities simultaneously.

Notes to the Financial Statements

for the year ended 30 June 2016

2.10 Impairment of assets

Financial assets

A financial asset is considered to be impaired if objective evidence indicate that one or more events had a negative effect on the estimated future cash flow of that asset.

An impairment loss in respect of financial asset measured at amortized cost is calculated as a difference between its carrying amount and the present value of estimated future cash flows discounted at the original effective interest rate. An impairment loss in respect of available for sale financial asset is calculated by reference to its current fair value.

Individually significant financial assets are tested for impairment on an individual basis. The remaining financial assets are assessed collectively in groups that share similar credit risk characteristics.

Non financial assets

The carrying amount of the Company's assets are reviewed at each balance sheet date to determine whether there is any indication of impairment. If such indication exists, the recoverable amount of such assets is estimated. An impairment loss is recognized wherever the carrying amount of the asset exceeds the recoverable amount. Impairment losses are recognized in profit and loss account. A previously recognized impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognized. If there is the case, the carrying amount of the asset is increased to its recoverable amount. That increased amount cannot exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognized for the assets in prior year. Such reversal is recognized in profit and loss account.

2.11 Dividend and other appropriations

Dividend distribution to the Company's shareholders is recognized as a liability in the Company's financial statements in the period in which the dividends are declared and other appropriations are recognized in the period in which these are approved by the Board of Directors.

2.12 Share Capital

Ordinary shares are classified as share capital.

Notes to the Financial Statements

for the year ended 30 June 2016

3. Property and equipment

Description	Furniture & Fixtures	Office Equipment	Computer Equipment	Vehicles	Lockers	Total
Rupees						
At 30 June 2014						
Cost	3,991,830	1,494,921	1,878,265	5,122,500	41,500	12,529,016
Accumulated depreciation	(2,417,883)	(1,009,156)	(1,800,891)	(4,386,097)	(33,479)	(9,647,506)
Net book value	<u>1,573,947</u>	<u>485,765</u>	<u>77,374</u>	<u>736,403</u>	<u>8,021</u>	<u>2,881,510</u>
Year ended 30 June 2015						
Opening net book value	1,573,947	485,765	77,374	736,403	8,021	2,881,510
Depreciation charged for the year	(157,395)	(48,576)	(25,788)	(147,281)	(802)	(379,842)
Closing net book value	<u>1,416,552</u>	<u>437,189</u>	<u>51,586</u>	<u>589,122</u>	<u>7,219</u>	<u>2,501,668</u>
At 30 June 2015						
Cost	3,991,830	1,494,921	1,878,265	5,122,500	41,500	12,529,016
Accumulated depreciation	(2,575,278)	(1,057,732)	(1,826,679)	(4,533,378)	(34,281)	(10,027,348)
Net book value	<u>1,416,552</u>	<u>437,189</u>	<u>51,586</u>	<u>589,122</u>	<u>7,219</u>	<u>2,501,668</u>
Year ended 30 June 2016						
Opening net book value	1,416,552	437,189	51,586	589,122	7,219	2,501,668
Addition	-	66,068	-	-	-	66,068
Depreciation charged for the year	(141,655)	(45,955)	(17,195)	(117,824)	(722)	(323,351)
Closing net book value	<u>1,274,897</u>	<u>457,302</u>	<u>34,391</u>	<u>471,298</u>	<u>6,497</u>	<u>2,244,385</u>
At 30 June 2016						
Cost	3,991,830	1,560,989	1,878,265	5,122,500	41,500	12,595,084
Accumulated depreciation	(2,716,933)	(1,103,687)	(1,843,874)	(4,651,202)	(35,003)	(10,350,699)
Net book value	<u>1,274,897</u>	<u>457,302</u>	<u>34,391</u>	<u>471,298</u>	<u>6,497</u>	<u>2,244,385</u>
Annual rate of depreciation	10%	10%	33.33333%	20%	10%	

3.1 Depreciation is charged to administrative expenses (Note 15).

Notes to the Financial Statements

for the year ended 30 June 2016

4. LONG TERM INVESTMENTS - available for sale

2016 Rupees	2015 Rupees		2016 (Rupees)	2015 (Rupees)
(Number of shares)				
10,000	10,000	AKD REIT Management Company Limited (Note 4.1)	100,000	100,000
9,800	9,800	Creek Developers (Private) Limited{CDPL} (Note 4.2)	98,000	98,000
<u>19,800</u>	<u>19,800</u>		<u>198,000</u>	<u>198,000</u>

4.1 This represents 10,000 ordinary shares of Rupees 10 each. The Company is required to seek prior approval from Securities & Exchange Commission of Pakistan before disposing of this investment.

4.2 This represents 9,800 ordinary shares of Rupees 10 each. The Company is required to seek prior approval from Defence Housing Authority before disposing of this investment.

Note 2016 Rupees 2015 Rupees

5. LONG TERM DEPOSITS

Deposit with Pakistan Telecommunication Company Limited

5.1 20,000 20,000

5.1 This represents amount deposited with Pakistan Telecommunication Company Limited (PTCL) as security deposit at the time of connection in 2003.

6. ADVANCES AND PREPAYMENTS

Advance to employees - considered good Prepayments

118,007 91,807
11,123 8,638
129,130 100,445

7. INVESTMENTS

2016 Rupees 2015 Rupees
(Number of shares)

776,000 776,000 Available for sale
Javedan Corporation Limited - cost
Fair value adjustment:
Opening balance
Reversal on disposal of investment
Effect of remeasurement to fair value as at 30 June

28,063,407	28,063,407
(2,773,567)	(3,168,698)
-	888,966
(2,421,120)	(493,835)
(5,194,687)	(2,773,567)
<u>22,868,720</u>	<u>25,289,840</u>

Notes to the Financial Statements

for the year ended 30 June 2016

	Note	2016	2015
		(Rupees)	
8.	OTHER RECEIVABLES		
	(Unsecured and considered good)		
	Related Parties		
	Receivable from associate - Creek Developers (Private) Limited	<u>1,970,931</u>	<u>1,443,333</u>
8.1	This represents the balance receivable of allocated share of common expenses.		
9.	CASH AND BANK BALANCES		
	Cash in bank - Current account	<u>2,769,344</u>	<u>72,079</u>
10.	ISSUED, SUBSCRIBED AND PAID-UP SHARE CAPITAL		
	</		

Notes to the Financial Statements

for the year ended 30 June 2016

	Note	2016	2015
			(Rupees)
12. TRADE AND OTHER PAYABLES			
Accrued liabilities		1,027,674	1,072,054
Provision for workers welfare fund		245,503	55,710
Payable to AKD Securities Limited	12.1	309,226	1,602,509
Unclaimed dividend		1,295,495	1,236,469
		<u>2,877,898</u>	<u>3,966,742</u>

12.1 This represents the balance payable against common expenses paid by AKD Securities Limited during the year.

13. CONTINGENCIES AND COMMITMENTS

13.1 Contingencies

13.1.1 The Company has filed a law suit in the Honourable High Court of Sindh against a consortium based in Lahore by sending legal notice unduly involving the name of the Company. In response, the said Consortium also filed a counter law suit on the Company in the same court claiming certain consultancy fees from the Company. The management and the legal counsel of the Company are of the view that based on the legal merits, the said law suits will be disposed of without any financial loss to the Company.

13.1.2 During the previous year, an individual filed case against the Company, amongst others, by making the Company as a pro-forma defendant. Presently, the matter is pending in Honourable High Court of Sindh. The management and its legal counsel are confident that that the Company is not a party to the aforesaid case, therefore, the eventual outcome would be favorable and would not result in any financial loss to the Company.

13.2 Commitments

There were no commitment as at the reporting date (2015: Nil).

14. CONSULTANCY FEE

The revenue recognized represents the billing made to the related party against consultancy services provided till the reporting date in respect of infrastructure designing of the construction projects.

Notes to the Financial Statements

for the year ended 30 June 2016

	Note	2016 (Rupees)	2015
15. ADMINISTRATIVE EXPENSES			
Salaries and benefits	15.1	475,200	576,000
Printing and stationery		370,866	117,394
Postage and telegram		16,628	15,253
Fees, taxes and subscription		415,835	226,971
Legal and professional		59,542	73,226
Advertisement and publicity		-	35,000
Entertainment		708,000	139,181
Auditors' remuneration	15.2	462,000	398,000
Depreciation	3.1	323,351	379,842
Office expenses		20,528	-
Repair and maintenance		82,838	4,959
Workers welfare fund		189,793	-
		<u>3,124,581</u>	<u>1,965,826</u>

15.1 Remuneration of Directors and Executives

No remuneration and meetings fees have been paid to Chief Executive Officer and Directors during the year respectively (2015: Nil).

	Note	2016 (Rupees)	2015
15.2 Auditors' Remuneration			
Audit fee		300,000	250,000
Half yearly review fee		112,000	112,000
Reimbursable expenses		50,000	36,000
		<u>462,000</u>	<u>398,000</u>

15.3 During the year, administrative expenses of Rupees 2.848 million (2015: Rupees 2.680 million) allocated to Creek Developers (Private) Limited as per "Resource Share Agreement".

	2016 (Rupees)	2015
16. FINANCE COST		
Bank charges	<u>31,808</u>	<u>20,685</u>

17. PROVISION FOR TAXATION

17.1 Current

The charge for current taxation is based on taxable income at the current rate of taxation after taking into account applicable tax credits, rebates and exemption available if any.

Notes to the Financial Statements

for the year ended 30 June 2016

	Note	2016	2015
		(Rupees)	
17.2 Deferred			
Deferred tax effect is due to:			
Tax depreciation allowance		336,553	(9,145)
		336,553	(9,145)
Opening balance as at 01 July		9,145	22,162
		<u>345,698</u>	<u>(31,307)</u>
17.3 Relationship between tax expense and accounting profit:			
Accounting profit before taxation			
Tax @ 32% (2015: 33%)		4,843,611	2,033,795
Effect of:		1,549,956	671,152
Tax effect of computation of income			
Effect of prior year adjustment		405,346	(36,290)
		1,596,175	23,775
		<u>3,551,476</u>	<u>658,637</u>
18. EARNINGS PER SHARE- BASIC AND DILUTED			
There is no dilutive effect on the basic earnings per share of the Company which is based on:			
Profit for the year		1,292,135	1,375,158
Weighted average number of ordinary shares in issue during the year		2,507,471	2,507,471
Earnings per share - basic & diluted		<u>0.52</u>	<u>0.55</u>

19. FINANCIAL RISK MANAGEMENT

19.1 Financial risk factors

The Company's activities expose it to a variety of financial risks: market risk (including currency risk, other price risk and interest rate risk), credit risk and liquidity risk. The Company's overall risk management programme focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on the financial performance.

Risk management is carried out by the Board of Directors (the Board). The Board provides principles for overall risk management, as well as policies covering specific areas such as currency risk, other price risk, interest rate risk, credit risk and liquidity risk.

Notes to the Financial Statements

for the year ended 30 June 2016

(a) Market risk

(i) Currency risk

Currency risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates. Currency risk arises mainly from future commercial transactions or receivables and payables that exist due to transactions in foreign currencies.

The company is not exposed to this risk because there were no receivables and payables in any foreign currency as at the reporting date. Moreover, no transactions were carried out in any foreign currency during the year.

Sensitivity analysis of functional currency at reporting date is not required due to nil foreign currency nominated financial assets and liabilities at the reporting date.

(ii) Other price risk

Other price risk represents the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices (other than those arising from interest rate risk or currency risk), whether those changes are caused by factors specific to the individual financial instrument or its issuer, or factors affecting all similar financial instrument traded in the market. The Company is not exposed to commodity price risk.

Sensitivity analysis

The table below summarizes the impact of increase / decrease in the Pakistan Stock Exchange (PSE) Index on the Company's profit after taxation for the year and on equity. The analysis is based on the assumption that the equity index had increased / decreased by 5% with all other variables held constant and all the Company's equity instruments moved according to the historical correlation with the index:

Index	Impact on equity		Impact on profit	
	2016	2015	2016	2015
	(Rupees)		(Rupees)	
KSE 100 (5% increase)	1,143,436	1,264,492	-	-
KSE 100 (5% decrease)	(1,143,436)	(1,264,492)	-	-

(iii) Interest rate risk

This represents the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. The company has no interest bearing liabilities at the reporting date.

(b) Credit risk

Credit risk represents the risk that one party to a financial instrument will cause a financial loss for the other party by failing to discharge an obligation. The carrying amount of financial assets represents the maximum credit exposure. The maximum exposure to credit risk at the reporting date was as follows:

Notes to the Financial Statements

for the year ended 30 June 2016

Financial Assets

	2016	2015
	(Rupees)	
Long term deposits	20,000	20,000
Long term investments	198,000	198,000
Trade debts	8,000,000	11,500,000
Advances	118,007	91,807
Investments	22,868,720	25,289,840
Other receivables	1,970,931	1,443,333
Bank balances	2,769,344	72,079
	<u>35,945,002</u>	<u>38,615,059</u>

Rating			2016	2015
Short Term	Long Term	Agency	(Rupees)	

Banks

MCB Bank Limited	A1+	AAA	PACRA	2,483,618	(22,514)
United Bank Limited	A-1+	AAA	JCR-VIS	4,179	4,179
Bank Al-Habib Limited	A1+	AA+	PACRA	281,547	90,414
				<u>2,769,344</u>	<u>72,079</u>

As at 30 June 2016, trade debts due from related party amounting to Rupees 8,000,000 (2015: Rupees 11,500,000) were past due but not impaired. The age analysis of these trade debts is as follows:

	2016	2015
	(Rupees)	
Upto 1 month	2,000,000	-
1 to 6 months	6,000,000	9,000,000
More than 6 months	-	2,500,000
	<u>8,000,000</u>	<u>11,500,000</u>

(c) Liquidity risk

Liquidity risk is the risk that an entity will encounter difficulty in meeting obligations associated with financial liabilities.

The Company manages liquidity risk by maintaining sufficient cash and bank balances. At 30 June 2016, the Company had Rupees 2,769,344 cash and bank balances. Following are the contractual maturities of financial liabilities, including interest payments. The amount disclosed in the table are undiscounted cash flows:

Contractual maturities of financial liabilities as at 30 June 2016

	Carrying Amount	Contractual Cash Flows	6 month or less	6 months to 12 months	More than 1 year
	Rupees	Rupees	Rupees	Rupees	Rupees
Trade and other payables	<u>2,877,898</u>	<u>2,877,898</u>	<u>2,877,898</u>	-	-

Notes to the Financial Statements

for the year ended 30 June 2016

Contractual maturities of financial liabilities as at 30 June 2015

	Rupees	Rupees	Rupees	Rupees	Rupees
Trade and other payables	<u>3,966,742</u>	<u>3,966,742</u>	<u>3,966,742</u>	<u>-</u>	<u>-</u>

19.2 Financial instruments by categories

	2016	2015
	(Rupees)	(Rupees)
Financial Assets		
Cash and bank balances	<u>2,769,344</u>	<u>72,079</u>
Investments		
Available for sale	<u>23,066,720</u>	<u>25,487,840</u>
Loans and receivables		
Long term deposits	20,000	20,000
Trade debts	8,000,000	11,500,000
Advances	118,007	91,807
Other receivables	<u>1,970,931</u>	<u>1,443,333</u>
	<u>10,108,938</u>	<u>13,055,140</u>
Financial Liabilities at amortised cost		
Trade and other payables	<u>2,877,898</u>	<u>3,966,742</u>

20. CAPITAL RISK MANAGEMENT

The Company's prime objective when managing capital structuring is to safeguard its ability to continue as a going concern in order to provide adequate returns for share holders and benefits for other stakeholders and to maintain an optimal capital structure to reduce the cost of capital.

21. RECOGNIZED FAIR VALUE MEASUREMENTS - FINANCIAL ASSETS

(i) Fair value hierarchy

Judgements and estimates are made in determining the fair values of the financial instruments that are recognized and measured at fair value in these financial statements. To provide an indication about the reliability of the inputs used in determining fair value, the Company has classified its financial instruments into the following three levels. An explanation of each level follows underneath the table:

Notes to the Financial Statements

for the year ended 30 June 2016

Recurring fair value measurements As at 30 June 2016	Level 1 Rupees	Level 2 Rupees	Level 3 Rupees	Total Rupees
---	-------------------	-------------------	-------------------	-----------------

Financial Assets

Available for sale	<u>22,868,720</u>	<u>-</u>	<u>198,000</u>	<u>23,066,720</u>
--------------------	-------------------	----------	----------------	-------------------

Recurring fair value measurements As at 30 June 2015	Level 1 Rupees	Level 2 Rupees	Level 3 Rupees	Total Rupees
---	-------------------	-------------------	-------------------	-----------------

Financial Assets

Available for sale	<u>25,289,840</u>	<u>-</u>	<u>198,000</u>	<u>25,487,840</u>
--------------------	-------------------	----------	----------------	-------------------

The above table does not include fair value information for financial assets and financial liabilities not measured at fair value if the carrying amounts are a reasonable approximation of fair value. Due to short term nature, carrying amounts of certain financial assets and financial liabilities are considered to be the same as their fair value.

There were no transfers between levels 1 and 2 for recurring fair value measurements during the year. Further there was no transfer in and out of level 3 measurements.

The Company's policy is to recognize transfers into and transfers out of fair value hierarchy levels as at the end of the reporting period.

Level 1: The fair value of financial instruments traded in active markets (such as publicly traded derivatives, and trading and available for sale securities) is based on quoted market prices at the end of the reporting period. The quoted market price used for financial assets held by the Company is the current bid price. These instruments are included in level 1.

Level 2: The fair value of financial instruments that are not traded in an active market (for example, over-the-counter derivatives) is determined using valuation techniques which maximize the use of observable market data and rely as little as possible on entity-specific estimates. If all significant inputs required to fair value an instrument are observable, the instrument is included in level 2.

Level 3: If one or more of the significant inputs is not based on observable market data, the instrument is included in level 3. This is the case for unlisted equity securities.

(ii) Valuation techniques used to determine fair values

Valuation technique used to value financial instruments includes the use of quoted market prices.

22. RECOGNIZED FAIR VALUE MEASUREMENTS - NON-FINANCIAL ASSETS

There were no any non-financial assets as at 30 June 2016 (2015: Nil) for the recognised fair value measurement.

Notes to the Financial Statements

for the year ended 30 June 2016

23. INFORMATION FOR ALL SHARES ISLAMIC INDEX SCREENING

23.1 Description

Note

2016 Carried under		2015 Carried under	
Non-Shariah arrangements	Shariah arrangements	Non-Shariah arrangements	Shariah arrangements

Assets:

Loans and advances

Advances to employees	6	-	118,007	-	91,807
Deposits	5	-	20,000	-	20,000
Bank balances	9	-	2,769,344	-	72,079

2016

2015

(Rupees)

23.2 Dividend income earned

-

9

23.3 Relationship with banks

Name	Relationship	
	Non Islamic window operations	With Islamic windows operations

MCB Bank Limited
United Bank Limited
Bank Alfalah Limited

✓

✓

✓

-

-

-

24. NUMBER OF EMPLOYEES

The number of employees during the year is as follows:

2016		2015	
At Year end	Average	At Year end	Average
3	3	4	4

Number of employees

- 24.1 All employees are hired on temporary contract basis. Therefore, the Company has not so far established any staff retirement benefit scheme. The Company intends to hire permanent employees after the commencement of primary commercial operations.

Notes to the Financial Statements

for the year ended 30 June 2016

25. TRANSACTIONS WITH RELATED PARTIES

The related parties comprise associated undertakings, other related companies and key management personnel. The Company in the normal course of business carries out transactions with various related parties. Detail of transactions and balances with related parties are as follows:

	Relationship with Company	2016	2015
		(Rupees)	
Transactions during the year:			
AKD Securities Limited	Associated Undertaking		
Expenses credited / payable		<u>6,027,138</u>	7,596,642
Paid during the year		<u>7,320,421</u>	<u>7,191,509</u>
Creek Developers (Private) Limited	Associated Undertaking		
Expenses debited / allocated		<u>2,848,330</u>	2,679,533
Collection during the year		<u>2,320,732</u>	<u>700,830</u>
R.A. Enterprises	Sponsor's Interest		
Consultancy fee		<u>8,000,000</u>	9,000,000
Collection during the year		<u>11,500,000</u>	<u>500,000</u>
Balance at year end:			
AKD Securities Limited	Associated Undertaking	<u>(309,226)</u>	(1,602,509)
Creek Developers (Private) Limited	Associated Undertaking	<u>1,970,931</u>	1,443,333
R.A. Enterprises	Sponsor's Interest	<u>8,000,000</u>	<u>11,500,000</u>

26. NON-ADJUSTING EVENTS AFTER THE BALANCE SHEET DATE

The Board of Directors of the Company in their meeting held on 30 September, 2016 proposed a final cash dividend for the year ended 30 June 2016 @ 10% i.e. Rupees 1.00 / share (2015: @ 10% i.e. Rupees 1.00 / share) for the ordinary shareholders of the Company except Company's sponsors, directors and their families. The approval of the members for the dividend will be obtained at the forthcoming Annual General Meeting. The financial statements for the year ended 30 June 2016 do not include the effect of these appropriations which will be accounted for in the financial statements for the year ending on 30 June 2017.

27. DATE OF AUTHORIZATION

These financial statements were approved and authorized for the issue on 30 September, 2016 by the Board of Directors of the Company.

28. GENERAL

28.1 Figures have been rounded off to the nearest Rupee, unless otherwise stated.

28.2 No significant reclassification or re-arrangement of the corresponding figures has been made in these financial statements.

CHIEF EXECUTIVE OFFICER

DIRECTOR

Annual Report 2016

39

Pattern of Shareholding

as at 30 June 2016

NUMBER OF SHAREHOLDERS	SHARE HOLDING			TOTAL SHARES HELD	% OF SHAREHOLDING
	FROM		TO		
341	1	-	100	19,992	0.80
334	101	-	500	111,584	4.45
143	501	-	1000	124,222	4.96
139	1001	-	5000	294,178	11.73
14	5001	-	10000	106,606	4.25
7	10001	-	15000	87,507	3.49
6	15001	-	20000	102,855	4.10
2	20001	-	25000	44,471	1.77
1	25001	-	30000	27,808	1.11
3	35001	-	40000	152,567	6.09
1	45001	-	50000	50,000	1.99
1	55001	-	60000	57,290	2.29
1	195001	-	200000	200,000	7.98
1	375001	-	380000	379,680	15.14
1	710001	-	750000	748,232	29.85
995				2,506,992	100

CATEGORIES OF SHAREHOLDERS

Director & Family	Designation	Number of Share holders	Shares Held	%
Aqeel Akrim Dhedhi	Chairman / Director	1	748,232	29.85%
Muhammad Sohail	Director	1	3,000	0.12%
Mehrunnisa W/o M. Sadiq	Director	1	27,808	1.11%
Yasmin Aqeel	Director	1	130,680	5.21%
Muhammad Munir	Director	1	750	0.03%
Zafar Jaweed Alavi	Director	1	1,000	0.04%
Nessar Ahmed	Chief Executive Officer / Director	1	210	0.01%
Individuals		953	963,654	38.44%
Financial Institutions		2	484,299	19.32%
Insurance Companies		1	543	0.02%
Joint Stock Companies		29	143,116	5.71%
Others		3	3,700	0.15%
	Total	995	2,506,992	100.00%

Statement Showing Shares Bought & Sold by the Directors, CEO & Company Secretary & Minor Family Members From 0 July 2015 to 30 June 2016

S.No.	Name	Designation	Shares Bought	Shares Sold
1	Aqeel Akrim Dhedhi	Chairman / Director	-	-
2	Muhammad Sohail	Director	-	-
3	Mehrunnisa W/o M. Sadiq	Director	-	-
4	Yasmin Aqeel	Director	-	-
5	Muhammad Munir	Director	-	-
6	Zafar Jaweed Alavi	Director	-	-
7	Nessar Ahmed	Chief Executive Officer / Director	-	-